The Effect of Citizenship Status and Nativity on Minimum Wage Coverage among Black Workers in Minnesota

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Background

- The minimum wage is the lowest hourly rate permitted by an employer and set by the federal government. If the state has a higher minimum wage than the government, then the state minimum wage is the permitted hourly rate.
- The current minimum wage in Minnesota is $9.00 for big employers and $7.25 for small employers and youth under 18. A large employer tends to have over 50 employees while small employers have about 2 to 49 full time employees. [1]
- The wealth gap in the United States has historically affected Blacks because of structural forces that have relegated Blacks into poverty. [2]
- African immigrants make up 25% of the Black population in Minnesota and 18% of all immigrants in MN. In addition, data from the Department of Labor and Industry shows that at least 30% of workers who earn minimum wage in Minnesota are individuals of African descent.[2]
- Policy makers in Minnesota are currently looking at the proposed minimum wage thresholds in this study.

Hypothesis

The share of foreign born citizens and non-citizen Blacks with wages below the proposed minimum wage threshold ($15/$12.5) equals the share of native born Blacks with wages below the proposed minimum wage.

Methodology

A data set was extracted from the Integrated Public Use Microdata Series (IPUMS), which includes responses gathered by the American Community Survey (ACS).

American Community Survey data between the years 2009-2013 was used to collect samples (race-Black, citizenship, state, income wage, and hours worked). There is an unweighted sample of 32,928.

In STATA, two new variables were generated which represent the proposed minimum wage thresholds; $15 and $12.5.

STATA two-group unequal variance t-test for difference in means was used to test the hypothesis for the two different minimum wage thresholds.

Three groups were tested:

Group 1: Native born vs. Non-citizens

Group 2: Citizens vs. Non-citizens

Group 3: Native born citizens vs. Foreign born citizens

Results

Figure 1: Distribution of Population that Earns Below the Proposed $15 Minimum Wage

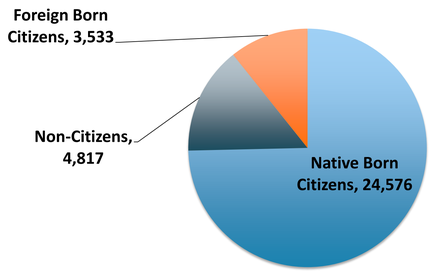


Figure 2:Distribution of Population that Earns Below the Proposed $12.5 Minimum Wage

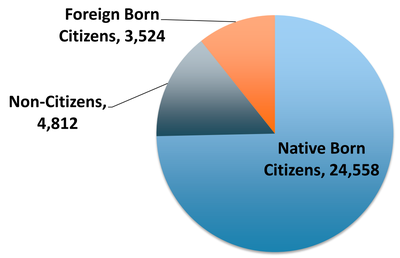


Figure 3: Proportion of Groups that Fall Below the Proposed $15 Minimum Wage

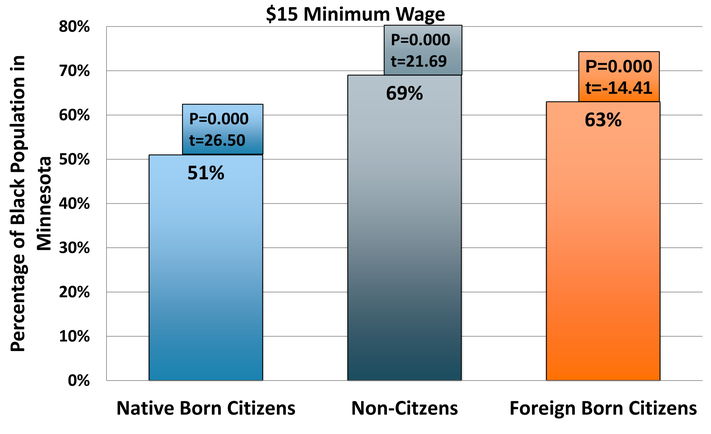
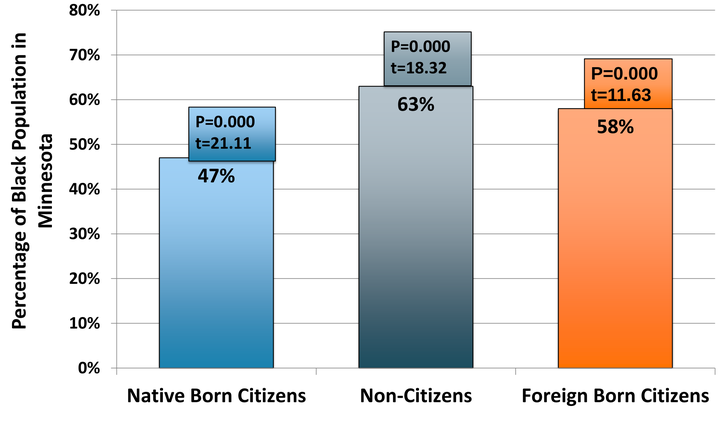


Figure 4: Proportion of Groups that Fall Below the Proposed $12.5 Minimum Wage



Discussion

Findings do not support the hypothesis that the shares of persons falling below the minimum wage thresholds are the same for any of the two-group comparisons. The hypothesis that foreign born Blacks or non-citizen Blacks are more likely to fall below the minimum wage threshold than native born Blacks or Black citizens cannot be rejected. The results show that non-citizens and foreign born citizens are poorer than native born citizens. The p-value was set at 0.05.

In figures 1 and 2, there is a large population of native born citizens yet less than half are affected, whereas the non-citizen and foreign born citizen group make up about a quarter of the Black population but are more affected. This means a minimum wage increase would be beneficial for these groups. In figures 3 and 4, the means for each group was similar regardless of the proposed minimum wage thresholds.

The results for native born citizens could be linked to the advantages native born citizens have when it comes to familiarity with Minnesota and the United States. In addition, research has shown that African immigrants tend to be concentrated in the same sectors of employment because of existing communities that are already present in certain neighborhoods and in employment.[3]

Limitations

There is very little research on the intersection of race, citizenship status/nativity, and minimum wage. This made it difficult to find existing information that could serve as some background for the study.

Future Research

- How does employer discrimination affect Black minimum wage earners?
- How can different educational levels be linked to wage earnings?
- What influence do African immigrant communities in Minnesota have on incoming immigrants who are looking for employment?
- How are undocumented immigrants affected by the minimum wage?

References

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